S.No.2

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH – 1
VC AND PHYSCIAL (HYBRID) MODE
ATTENDANCE CUM ORDER SHEET OF THE HEARING HELD ON
06-11-2024 AT **10:30 AM**

CA (CAA) No. 27/230/HDB/2024
u/s. 230 of Companies Act, 2013

IN THE MATTER OF:
M/s. Haragovind Enterprises Pvt Ltd (Transferor Co.,) & M/s. Hyderabad Institute of Oncology Pvt Ltd., (Transfere Co.,) **…Petitioner**

C O R A M:-
DR. VENKATA RAMAKRISHNA BADARINATH NANDULA, HON'BLE MEMBER (JUDICIAL)
SH. CHARAN SINGH, HON'BLE MEMBER (TECHNICAL)

O R D E R

Orders pronounced. In the result, **CA (CAA) No. 27/230/HDB/2024 is allowed**, subject to the directions mentioned in the order.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

Swapna

IN THE NATIONAL COMPANY LAW TRIBUNAL

HYDERABAD BENCH, HYDERABAD-1

CA (CAA) NO.27/230/HDB/2024
U/s 230 and 232 of the Companies Act, 2013

IN THE MATTER OF
HARAGOVIND ENTERPRISES PRIVATE LIMITED
(TRANSFEROR COMPANY)
AND
HYDERABAD INSTITUTE OF ONCOLOGY PRIVATE LIMITED
(TRANSFEREE/ RESULTING COMPANY)
AND
THEIR RESPECTIVE SHAREHOLDERS

M/s. HARAGOVIND ENTERPRISES PRIVATE LIMITED

Having its registered office at
D. No.6-5-82, Ground Floor,
Chukkapalli Towers 5th Lane,
Arundalpet, Krishna, Guntur,
Andhra Pradesh, India, 522002.

...Applicant No.1 /Transferor Company

And

HYDERABAD INSTITUTE OF ONCOLOGY PRIVATE LIMITED

Having its registered office at
H.No.8-2-293/82/L/276A,
MLA Colony Road No: 12,
Banjara Hills, Hyderabad,
Telangana-500034.

...Applicant No.2 /Transferee Company

DATE OF ORDER: 06.11.2024

CORAM:-

DR. VENKATA RAMAKRISHNA BADARINATH NANDULA,
HON'BLE MEMBER (JUDICIAL)
SH. CHARAN SINGH, HON'BLE MEMBER (TECHNICAL)

Counsels / Parties Present

For the Applicant: Mr. Venkat Rami Reddy, Counsel .

PER BENCH

1. This is an Application filed by the Applicant Company under Sections 230 to 232 read with Companies (Compromises, Arrangements and Amalgamations), Rules 2016 inter-alia seeking to dispense with the requirement of holding the meeting of the shareholders, Secured Creditors and Unsecured Creditors of Applicant Company/Transferee Company.

2. The averments made in the application are briefly described as under:

    a. Transferor Company, M/s. **HARAGOVIND ENTERPRISES PRIVATE LIMITED** ("**Transferor Company**") is a Company incorporated under the provisions of the Companies Act, 2013 (CIN U85195AP2015PTC096073). Certified copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company are annexed as **Annexure C** to the application. The

main objects of the Transferor Company are to establish, construct, erect, maintain , run, manage, develop, own, acquire, purchase, undertake, improve, equip, promote, initiate, encourage, subsidise and organize, hospitals, dispensaries, clinics, diagnostic centers, polyclinics, pathology, laboratories, research centers, operation theatres, chemist shops, blood banks, eye banks, nursing homes, physiotherapy centers, investigation, centers including ultra-modern medical facilities for diagnoses and treatment of various diseases and establishments for providing treatment. The Transferor company is not under the jurisdiction of Telangana.

b. The authorized, issued, subscribed and paid-up share capital of the Transferor Company as on 31th March 2023 are as under:

Particulars	**Amount in Rs.**
Authorised Share Capital	
1,00,00,000 Equity Shares of Rs. 10/- each	10,00,00,000/-
Issued, Subscribed and paid-up Shares Capital	
50,00,000 Equity Shares of Rs. 10/- each	5,00,00,000/-

Subsequent to 31st March, 2023, there has been change in the Authorised, Issued, Subscribed and paid-up Capital of the Transferor Company. The details of Authorised, Issued, Subscribed and paid-up Share Capital of Transferor Company as on 15.09.2024 is as under:

Particulars	Amount in Rs.
Authorised Shared Capital	
50,00,000 Equity Shares of Rs.10/- each	5,00,00,000/-
50,00,000 Preference Shares of Rs. 10/- each	5,00,00,000/-
Total	10,00,00,000/-
Issued, Subscribed and Paid-up Share Capital	
50,00,000 Equity Shares of Rs. 10/- each	5,00,00,000/-
13,00,000 Preference Shares of Rs. 10/- each	1,30,00,000/-
Total	6,30,00,000/-

c. The Applicant Company/Transferee Company i.e **M/s. Hyderabad Institute of Oncology Private Limited** was incorporated as Private Limited Company on 01.01.2010 bearing CIN: U85110TG2010PTC066521 with the Registrar of Companies, Hyderabad under the provisions of the Companies Act, 2013. The Transferee Company is engaged in business of promoting hospitals speciality to render all kinds of Oncology services. A copy of the Memorandum and Articles of Association of the Transferee Company are annexed as **Annexure A** respectively to the Application.

d. The authorized, issued, subscribed and paid-up share capital of the Transferee Company as on 31st March, 2023 is as under:

Particulars	**Amount in Rupees**
Authorized Capital	
2,49,90,000 equity shares of Rs. 10/- each	24,99,00,000
Issued, Subscribed and Paid-up Share Capital	
60,00,000 equity shares of Rs. 10/- each	6,00,00,000

Subsequent to 31st March, 2023, there has been change in the Authorized, Issued, Subscribed and Paid-up Capital of the Transferee Company. The details of Authorised, Issued, Subscribed and Paid-Up Share Capital of Transferee Company as on 15.09.2024 is as under:

Particulars	**Amount in Rupees**
Authorized Share Capital	
1,50,00,000 Equity Shares of Rs. 10/- each	15,00,00,000/-
99,90,000 Preference Shares of Rs. 10/- each	9,99,00,000/-
Total	**24,99,00,000/-**
Issued, Subscribed and Paid-up Share Capital	

60,00,000 Equity Shares of Rs. 10/- each	6,00,00,000/-
24,40,000 Preference Shares of Rs.10/- each	2,44,00,000/-
Total	**8,44,00,000/-**

3. The Board of Directors of the Applicant Company vide its resolution dated 27.05.2024 approved the Scheme of Amalgamation, with the appointed date being 01.04.2024, subject to the approval/directions of this Tribunal and such other approvals as may be required. Certified copy of the resolution passed at the meeting of the Board of Directors of the Applicant Company approving the scheme are annexed herewith as **Annexure F** to the Application.

4. **BENEFITS ARISING OUT OF AMALGAMATION:**

The amalgamation of the Transferor Company with Transferee Company pursuant to this Scheme would, inter-alia, have the following benefits:

(a) The Merger will enable pooling of resources of the Company involved in Merger to their common advantage, resulting in more productive utilization of the said resources and achieving economies of scale resulting into cost and operational efficiencies, which would be beneficial for all the stakeholders.

(b) The Merger would bring synergies in procurement, technology. administration and marketing operations.

(c) The Merger would help to achieve consolidation, greater integration and flexibility which will maximize overall shareholder's value and improve the competitive position of the Transferee Company.

(d) The Merger would help combine the administrative and marketing functions of the entities involved and consequently result into more efficient functioning of the Transferee Company in a cost-effective manner.

(e) The Merger is expected to increase the financial strength thereby enabling further growth and development of the Transferee Company.

(f) The Merger would result into simplification of the entity structure of different entities and the shareholding in the group.

(g) The Merger would bring greater management focus and would help in achieving uniform corporate policies and faster / effective decision making and its implementation.

(h) Cost reduction as a result of focused operational efforts, elimination of duplication of administrative expenses, optimum utilization of available resources and integrating management focus which will make the internal control systems more efficient and effective.

(i) Business synergies in the operations of the Transferee Company and the Transferor Company will provide operational flexibility and a stronger and wider capital and financial base for future growth/ expansion of the Transferee Company.

(j) The Merger would help avoiding duplication of regulatory and procedural compliances and consequently result into saving of time, resources and cost involved in such compliances.

(k) The Merger shall be beneficial and in the best interests of the shareholders, creditors, employees of the Company involved, and all concerned.

5. It is averred that there are 4 equity shareholders and one Preference Shareholder in the Transferee Company. Chartered Accountants i.e Bharath Kumar &Co certifying the list of Shareholders and preference shareholders of the Applicant Company is annexed as **Annexure-H** to the Application and the consent affidavits given by the shareholders and preference shareholder stating no objection to the Scheme are annexed at **Annexure-I** to the Application.

6. It is averred that there are 4 Secured Creditors and 10 unsecured creditors in the Transferee Company. Chartered Accountants i.e Bharath Kumar &Co certifying the list of secured and unsecured creditors of the Applicant Company is annexed as **Annexure-L** to the Application and the consent affidavits given by the Secured and

unsecured creditors stating no objection to the Scheme are annexed at **Annexure- J&K** to the Application.

7. **COMPLIANCE OF ACCOUNTING STANDARD**

The certificate issued by the Chartered Accountants i.e Bharath Kumar &Co stating that the accounting treatment proposed in the Scheme of Amalgamation of Transferor Company and Transferee Company is in compliance with Accounting Standard-14 notified by the Central Government and Section 133 of the Companies Act, 2013. A copy of the certificate issued by the Chartered Accountants of the Transferee Company is annexed as **Annexure M**.

8. **CONSIDERATION**

Upon the sanction of this Scheme by the Tribunal and in consideration of transfer and vesting of the Amalgamating Undertaking of the Transferor Company to the Transferee Company in terms of provisions of the Scheme, the Transferee Company shall, without any further application or deed, issue and allot Equity Share(s) to the members of

the each of the Transferor Company whose names appear in the Register of members as on Record Date, in the following ratio:

"1.542 equity share of face value of Rs 10/- each (Rupees Ten only) fully paid up of the Transferee Company for every 1 equity share of Rs 10/- each (Rupees Ten only) of the Transferor Company".

Copy of Valuation report is annexed as annexure -G along with the application.

9. **DECLARATION BY THE APPLICANT COMPANY**

- No petition under Sections 397 or 398 of the Companies Act, 1956 or Section 241 to 244 of the Companies Act, 2013 has been filed against the Applicant Company and there has been no material change in the affairs of the Applicant Company, except for what was done in the normal course of business.
- There are no proceedings pending under Section 235 to 251 of the Companies Act, 1956 or under Section 210 to 227 of the Companies Act, 2013 against the Applicant Company.
- The Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133.

10. We have heard the learned Counsel for Applicant Company and perused the documents filed. This is the first stage Application seeking dispensation of convening meetings of Shareholders, preference shareholders, Secured and Unsecured Creditors of the Applicant Company. All of them had given their consent in the form of affidavits. The proposed scheme in question prima facie satisfy fundamental requirements for its sanction, subject to approval of this Tribunal. The Applicant Company stated to be following all provisions of Companies Act, 2013, and rules made thereunder. In any case, dispensing with meeting in question would not deprive any aggrieved party to approach this Tribunal at any point of time, when the approval of scheme in question finally come for consideration. Therefore, the Company application deserves to be allowed.

11. After hearing the Learned Counsel for Applicant Company and after perusing the documents filed, we therefore pass the following order:-

a) Hereby dispensed with convening the meeting of Equity Shareholders, preference shareholder, Secured creditors and unsecured creditors of the Applicant Company.

b) Notwithstanding the above, when the Applicant Company approach this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before this Tribunal.

c) Accordingly, the Company Application C.A. (CAA) No.27/230/HDB/2024 is allowed and the same is disposed.

-sd-
Charan Singh
Member Technical

-sd-
Dr. Venkata Ramakrishna Badarinath Nandula
Member Judicial

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